

Understanding The Nordic Model

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Thesis

With a balance between social safety nets and elements of neoliberal economic policies, the Nordic Model can be seen as an ideal model for prosperity.

Methodology

- Defining Key Terms
- Geographic Identification
- Analyzing Data
 - Anti-Neoliberal Comparison: France
 - Neoliberal Comparisons: UK, USA
- Critics and Rebuttal
- Final Thoughts
 - Conclusions
 - What else did we take away from our research?

What is Neoliberalism

- Political and economic philosophy
- Became prominent in the latter half of the 20th century
- Favoring private sectors
- Modest welfare state



Neoliberalism
[,nē-ō-'li-b(ə-)rə-,li-zəm]

A policy model that encompasses both politics and economics and seeks to transfer the control of economic factors from the public sector to the private sector.

 Investopedia

The Nordic Model

The Nordic Model is a model that is based around the idea of countries having robust social safety nets and neoliberal economic policies

The countries

Sweden, Norway, Finland, Denmark, and Iceland





Anti-Neoliberal Policies of The Nordic Model

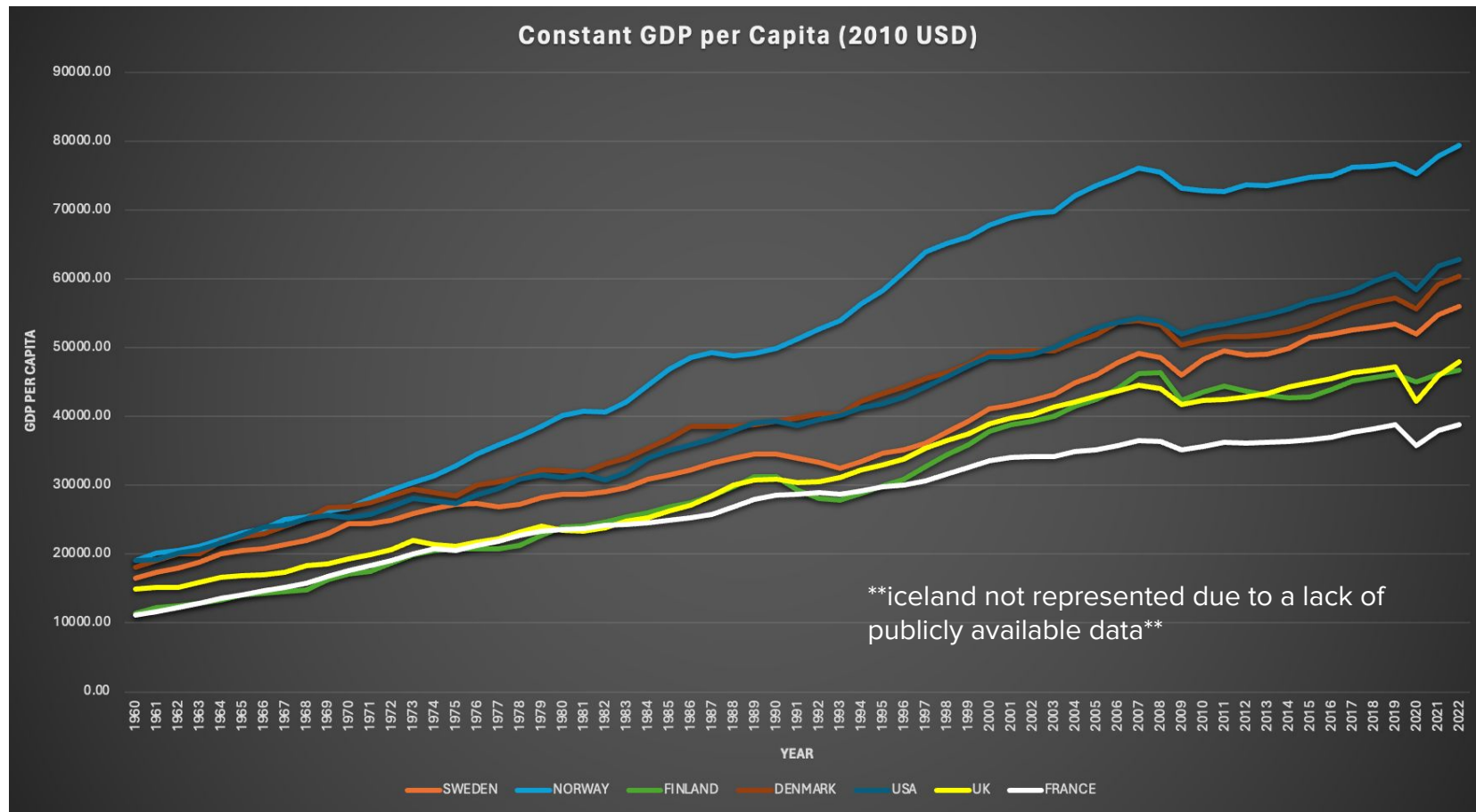
- Generous social safety nets
- High levels of taxation
- Relatively equal income distribution.

Welfare-State: economic and social policies of a country that give high priority to equality and individual protection against social hazards (Sandmo, 1).

Neoliberal Policies of The Nordic Model

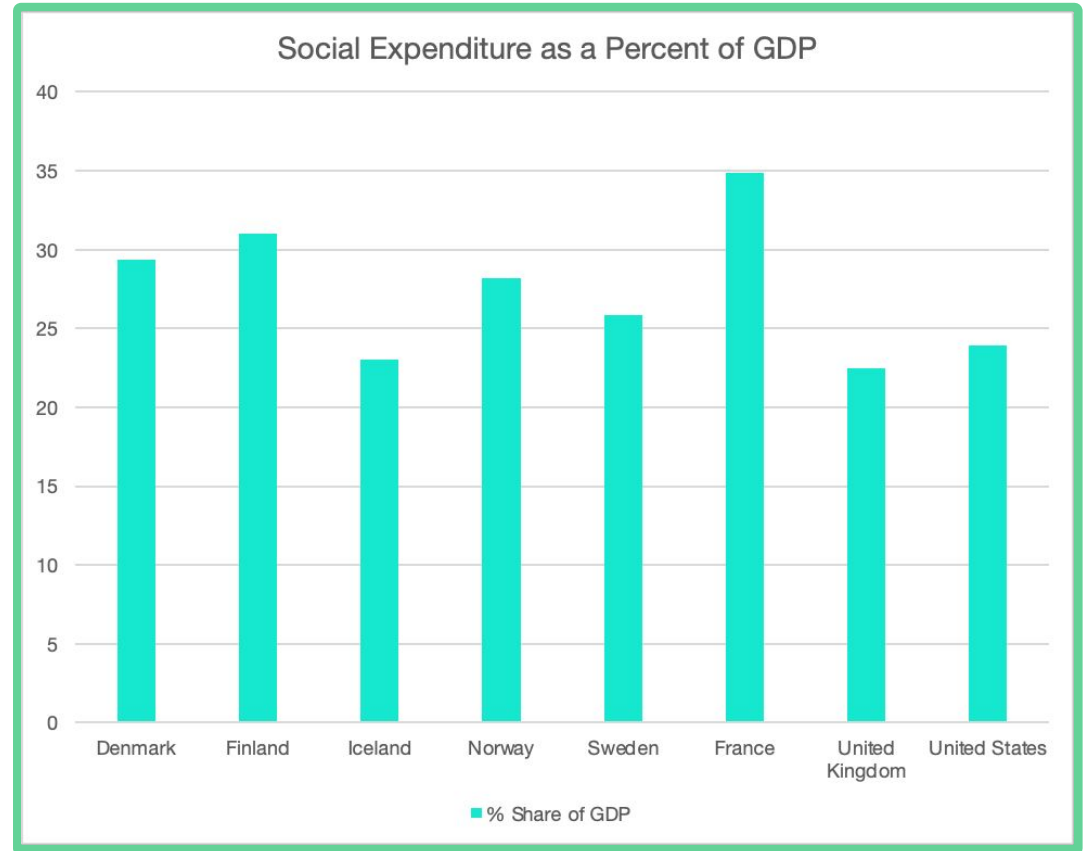
- Globalization and trade liberalization
- Deregulation of some industries
 - Electricity
 - Banking
- Privatization of **some** public services
 - Healthcare
 - Education

Economic Growth: The Nordic Model vs The World



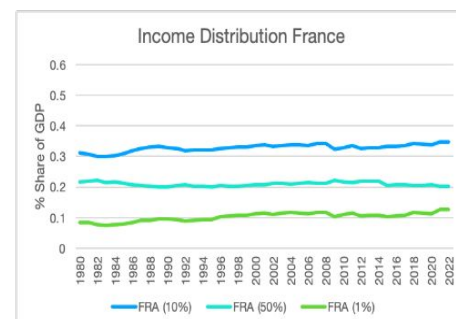
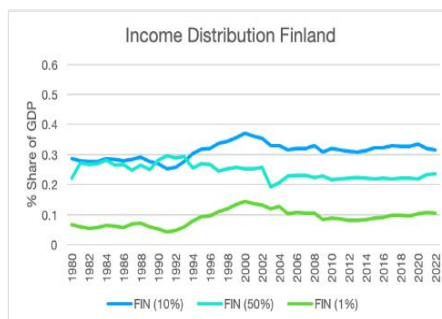
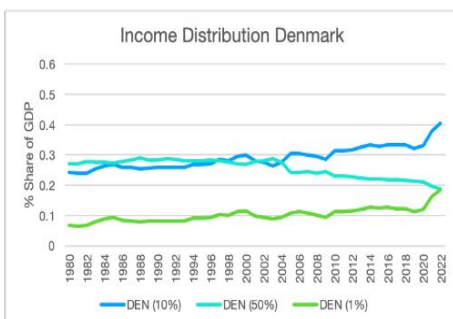
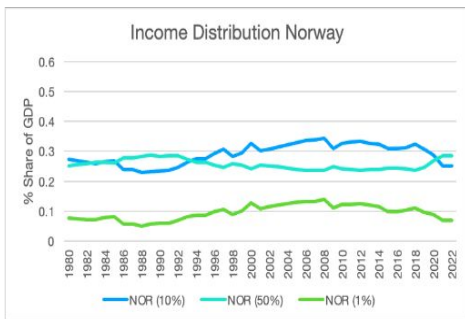
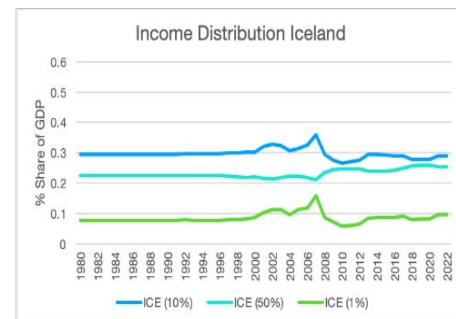
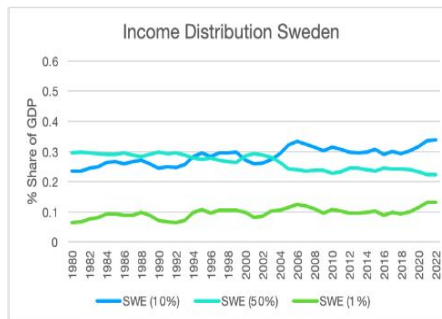
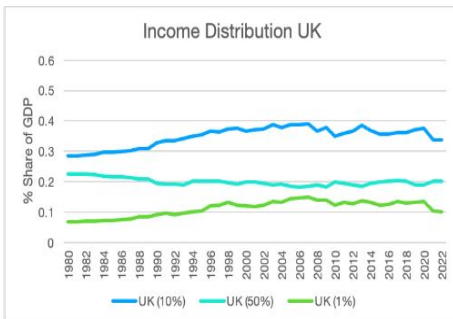
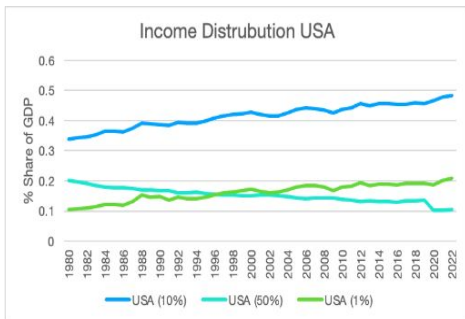
Social Expenditures

- “a measure of the extent to which countries assume responsibility for supporting the standard of living of disadvantaged or vulnerable groups” - OECD
- How do neoliberal countries spend their GDP on welfare?
- What about anti-neoliberal?



“The outcome of the alignment of development with neoliberalism has been disastrous with 2,153 billionaires controlling more wealth than 4.6 billion people and almost half of the world’s population living on less than US\$5.50 a day”

Income Inequality in Nordic Countries vs. USA, UK, France



Data sourced from WID - World Inequality Database

Critics

Scholars from MIT claim—

“by their very nature, **productivity in the production of welfare services tends to increase at a lower rate**, if at all, than in the production of goods (or other services). Assuming equal wage developments across sectors, unit **costs must then increase faster in the production of welfare services than in the economy as a whole** (a phenomenon known by economists as ‘Baumol’s law’)” (Anderson et al, 19).

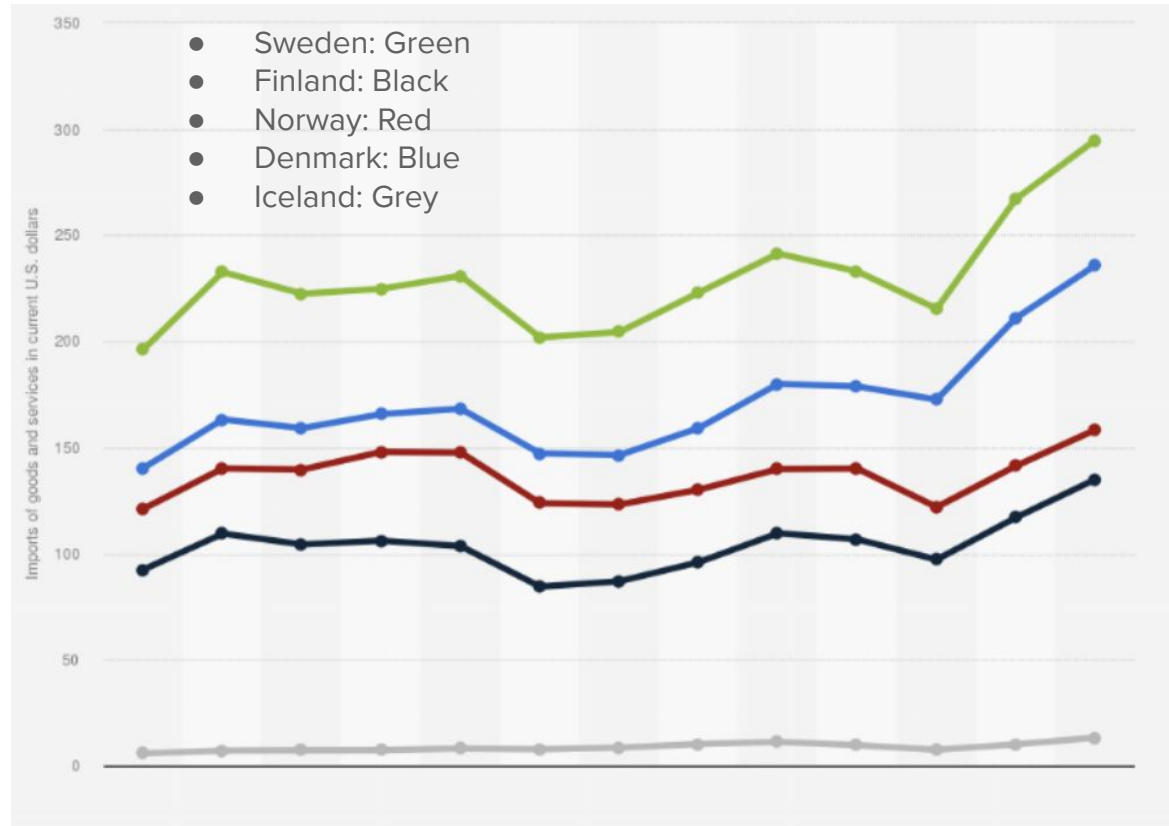
Our Rebuttal to the Scholars from MIT

- Privatization of businesses allows businesses to outsource labor
 - Thus becoming global businesses
- Unemployment levels rise allowing for labor to shift into welfare service production
- As a result, there is an increase in total production within welfare services
- Better / more welfare can lead to better education and other services
 - Dependent on good labor allocation and proper government spending
- Hence, there will be:
 - A more highly educated workforce
 - A continuation of innovation of technology

Rising imports throughout Scandinavia: Does this prove our theory?

YES!

- Increased imports imply reduced production in some sectors which would lead to a rise in unemployment.
- Exports may increase too as a result a growth of the economy overall.



Final Thoughts

- Balanced approach
- Economic Prosperity
- Equitable Society
- High Social Expenditures
- Globalization Synergy

Implementation of the Nordic Model, using our economic theory, would be beneficial to developing countries' economies, as it allows for a mix of a global economy while maintaining social welfare.

Questions?

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